benefit (which would not be available if they shift) as they also stand to take advantage of lower effective corporate tax rate of 22 per cent.

The Statement also shares details on businesses, including manufacturing businesses, organized as partnership firms and Association of Persons (AoPs) or some other non-corporate forms. There were 14.38 lakh such entities that filed returns for income of financial year 2017–18. These firms reported Rs 1,95,669 crore as profit before taxes, declared a taxable income of Rs 1,76,905 crore and paid tax of Rs 52,737 crore. These firms suffered the highest rates of income tax applicable to individuals. The lowering of corporate tax rates to 22 per cent/15 per cent was likely to encourage many of these firms to convert into companies to avail the benefit of lower applicable tax rates.

Impact Assessment

The actual CIT collections for financial year 2019–20 came to Rs 5,56,876 crore, which was lower by Rs 1,06,696 crore compared to the CIT collections of Rs 6,63,572 crore for the previous year 2018–19.

The Statement of Revenue Impact of Tax Incentives under the Central Tax System placed along with the Budget 2021–22 was expected to bring the analysis of the impact of major corporate rate cuts announced in September 2019. However, this Statement does not even mention these cuts. The government has not provided any other analysis bringing out the impact of these corporate cuts on economic growth, new manufacturing facilities established, conversion of non-corporate businesses in the corporate form or the impact of these measures on the government’s tax revenues.

The Statement only provides information on the effective tax rate for 8.85 lakh companies that filed returns for financial year 2018–19 (the year before the corporate tax cuts were announced), which was higher than the number of 8.41 lakh that had filed returns the year before. The total number